

Ticker: SKE CN **Net cash:** C\$76m **Project:** Eskay Creek
Market cap: C\$791m **Price:** C\$3.65/sh **Country:** Canada, BC
RECOMMEND. (unc): BUY **TARGET** (unc): C\$4.30/sh **RISK RATING:** HIGH

Today's update by far exceeds our 4-5Moz expectations, albeit the ~600koz @ ~25g/t AuEq added from drilling in the old 'buffer' zone is exactly what we were hoping for. Most inputs are similar to the prior resource other than ~230koz of low-grade inferred coming in. Stepping back, we now have 5.4Moz @ 4.2g/t AuEq global pit resource, but a PFS mine plan only including 3.0Moz @ 4.3g/t AuEq. Even a conservative 70% reserve conversion would support 3.8Moz of reserves; the take home – expansions are coming in our view. We see a mine-life extension as close to inevitable from the core resource area. This gets more interesting with the upside beyond that – firstly we could see an expansion to mill throughput that could lift current ~300koz pa. Next, Snip could add 40-50koz pa as a satellite for production lifting toward 400koz pa. With rigs now going regional, new discoveries could take this toward 500koz pa, although that is speculative at this stage. **We maintain our BUY rating and build-start 0.6xNAV_{5%-1850-24} price target of C\$4.30/sh.** This now includes the 2.7Moz of Eskay Creek resources outside our modelled 3Moz AuEq mining inventory at an attributed US\$50/oz, although this offsets a strong CAD in recent months. We look forward to material catalysts around regional exploration, followed by a ~1Q22 FS likely to show improvements given the larger resource. Thereafter we think the recent Tahltan investment bodes well for cooperative permitting, which could see build start before the 2024 base case.

Table 1. Skeena Eskay MRE released today compared to prior resource, with underlying inputs

	Tonnes	AuEq	AuEq	Au / Ag	M&I		TODAY	4Q19
Eskay 2Q21 MRE	(000t)	(g/t)	(000oz)	(%)	(%)	Methodology	Ordinary Kirging	Ordinary Kirging
Pit global resource	42,893	4.17	5,425	72 / 28	96%	Parent block (m)	OP: 9x9x4m; UG: 3x3x2m	OP: 9x9x9m, UG: 3x3x2m
Δ to 4Q19 (%)	+58%	-15%	+44%	66 / 34	+28%	SMU block (m)	3 x 3 x 2m pit, 1x1x1 UG	OP: 3x3x2m, UG: 1x1x1m
UG global resource	1,280	5.41	224	88 / 12	70%	Composite (m)	OP: 2m, UG: 1m	OP: 2m, UG: 1m
Δ to 4Q19 (%)	+15%	-35%	-25%	79 / 21	-11%	Top-cut (g/t)	n/a	Au: 45-900g/t, Ag: 600-30kg/t
Global resource	44,173	3.98	5,649	83 / 17	95%	Cut-off (g/t)	OP: 0.7g/t Au, UG: ~2.6g/t AuEq	OP: 0.7g/t AuEq, UG 5.0g/t AuEq
Δ to 4Q19 (%)	+57%	-12%	+39%	75 / 25	+26%	Pit shell price (US\$/oz)	US\$1,615/oz Au US\$21.85/oz Ag	US\$1,275/oz Au US\$15/oz Ag
2Q19 PFS LOM	21,307	4.35	2,982	74 / 26	57%	Holes / meters (m)	8,334 / 756,072	7,675 / 666,806

Source: Company data, SCP, AuEq at spot US\$1,735/oz Au and US\$25/oz Ag

Updated Eskay Creek MRE sees +40% lift in global ounces to 5.65Moz @ 3.98g/t AuEq

Skeena has released an updated MRE for Eskay Creek, lifting from 3.8Moz @ 4.9g/t AuEq to 5.65Moz @ 3.98g/t AuEq on like-for-like spot gold and silver (US\$1,735/oz and US\$25/oz Ag). This is based on 651km of drilling over 8,334 holes, up from 667km over 7,675holes. Global tonnes were up almost 60%, with a small drop in grade of 12% for a net ~40% lift in ounces. Modelling methods and assumptions are broadly similar to the prior resource, with a slightly elevated gold price and lower cut-off for the UG, driving ~229koz @ 1.4g/t of inferred material to be added, with limited impact on the residual 4.3g/t material. The prior resource had a 'assumed zero grade' in the 1m buffer around old stopes. Infill since then has added 597koz @ 25g/t AuEq. With infill largely complete, property-scale exploration is now underway.

Why we like Skeena Resources

- Large high-grade open pit with SCPe >500koz upside potential in coming 12-18M
- Shift in market dynamics allows concentrate sales for lower capex
- Optionality from high-grade Snip mine nearby to blend concentrate or add ounces
- Catalyst heavy with drilling, metallurgy, PFS and DFS in coming 18M

Catalysts

- CY21: Regional drilling
- 2Q21: Permitting update
- 1Q22: BFS including expanded resource

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Ticker: SKE CN	Price / mkt cap: C\$3.65/sh, C\$791m	Project PNAV today: 0.63x	Asset: Eskay Creek / Snip
Author: B Salier/ B Gaspar	Rec / 0.6xNAV P1 BUY, C\$4.3/sh	1xNAV_{1Q21} FF FD: C\$5.77/sh	Country: Canada: BC

Commodity price	CY18A	CY19A	CY20E	CY21E	CY22E
Gold price	1,850	1,850	1,850	1,850	1,850
SOTP project valuation*					
	C\$m	O/ship	NAVx	C\$/sh	

Ungeared proj. @ build start (2Q22)	1,429	100%	1.00x	5.87	
Cash 3Q20 + raise	76	100%	1.00x	0.31	
Cash from options	41	100%	1.00x	0.17	
Eskay Ck resources ex reserve @ US\$50/oz	137	100%	1.00x	0.56	
Snip (US\$75/oz)	60	100%	1.00x	0.25	

Asset NAV5% C\$1850/oz	1,744			7.16	
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*Shares diluted for options but not mine build Market P/NAV_{8%} 2Q20 0.55x

Asset value: 1xNPV project @ build start (C\$m, ungeared)*

Project NPV (C\$m)*	\$1750oz	\$1850oz	\$1950oz	\$2050oz	\$2150oz
10.0% discount	1,258	1,362	1,467	1,525	1,627
7.5% discount	1,417	1,535	1,652	1,721	1,835
5.0% discount	1,606	1,739	1,871	1,952	2,082
Ungeared project IRR:	97%	103%	110%	109%	115%

Project NPV (C\$m)*	\$1750oz	\$1850oz	\$1950oz	\$2050oz	\$2150oz
3.7g/t AuEq	1,307	1,426	1,546	1,665	1,785
4.1g/t AuEq	1,606	1,739	1,871	1,952	2,082
4.5g/t AuEq	1,855	1,998	2,141	2,283	2,426

NPV5 (C\$m)*	\$1750oz	\$1850oz	\$1950oz	\$2050oz	\$2150oz
Payability: 67%	1,307	1,426	1,546	1,665	1,785
Payability: 74%	1,606	1,739	1,871	1,952	2,082
Payability: 82%	1,855	1,998	2,141	2,283	2,426

*Project level NPV, excl finance costs and central SGA, discounted to build start

Group valuation over time^	1Q21	1Q22	1Q23	1Q24	1Q25
Eskay Creek (C\$m)	1,361	1,429	1,644	1,895	1,572
Net cash prior qtr (C\$m)	76	18	23	(153)	231
G&A and finance costs (C\$m)	(84)	(83)	(82)	(73)	(54)
Cash from options (C\$m)	41	41	41	41	41
Snip	10	10	10	10	10
NAV FF FD (C\$m)	1,404	1,415	1,637	1,721	1,800
1xNAV _{5%} /sh FF FD (C\$/sh)	5.77^	5.81^	5.95*	6.26*	6.54*
Equity ROI from spot (% pa)		59%	39%	31%	26%

Geared company NAV diluted for mine build, net G&A and finance costs

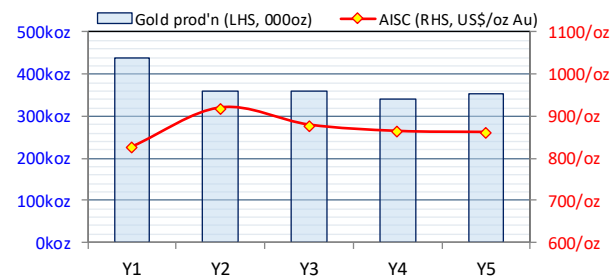
2Q22 1xNAV FF FD (C\$/sh)^	\$1750oz	\$1850oz	\$1950oz	\$2050oz	\$2150oz
10.0% discount	4.82	5.23	5.65	5.88	6.28
7.5% discount	5.31	5.77	6.22	6.49	6.93
5.0% discount	5.89	6.39	6.89	7.20	7.69
Geared project IRR:	88%	94%	101%	100%	106%

2Q22 1xNAV FF FD (C\$/sh)^	\$1750oz	\$1850oz	\$1950oz	\$2050oz	\$2150oz
Payability: 67%	4.76	5.21	5.66	6.11	6.57
Payability: 74%	5.89	6.39	6.89	7.20	7.69
Payability: 82%	6.83	7.37	7.91	8.45	8.99

^Project NPV incl grp SGA & fin. cost, +net cash; *diluted for mine build equity

Production	Y1	Y2	Y3	Y4	Y5
Gold production (000oz)	439	360	359	339	354
C1 cost (US\$/oz)	813	882	847	833	818
AISC cost (US\$/oz)	827	920	879	864	861

AISC = C1 + ug sustaining capex, Y1 = 12M to Dec 2024



Source: SCP estimates

Resource / Reserve	AuEq (koz)	AuEq (g/t)
Pittable resource	5425koz	4.17g/t
Underground resource	224koz	5.41g/t
Snip	646koz	13.60g/t

Funding: uses	Funding: sources
PFS capex	C\$303m
SCPe G&A to 1st Au + ABX \$	C\$15m
SCPe pre-production expl'n	C\$11m
SCPe finance costs + wkg cap	C\$69m
Total uses	C\$398m

*Cash from options expiring pre first pour Buffer C\$55m

Share data

Basic shares (m)	216.8	FD with build equity raise	275.1
FD with options (m)	243.4		

Ratio analysis

	CY18A	CY19A	CY20E	CY21E	CY22E
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Average shares out (m)	91.3	107.3	145.3	166.7	179.5
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EPS (C\$/sh)	-	-	-	-	-
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CFPS (C\$/sh)	-	-	-	-	-
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EV (C\$m)	332.0	379.9	516.6	589.3	812.7
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FCF yield (%)	-	-	-	-	-
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PER (x)	-	-	-	-	-
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P/CF (x)	-	-	-	-	-
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EV/EBITDA (x)	-	-	-	-	-
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Income statement

	CY18A	CY19A	CY20E	CY21E	CY22E
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Net revenue (C\$m)	-	-	-	-	-
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Gross profit (C\$m)

D&A, attrib (C\$m)	0.2	0.4	-	-	-
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Admin (C\$m)	4.3	4.5	5.0	5.0	5.0
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Expensed exploration (C\$m)	11.5	12.8	-	-	-
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Finance cost (C\$m)	(0.0)	(0.1)	-	-	(3.4)
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Royalty (C\$m)	-	-	-	-	-
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Forex, other (C\$m)	(0.5)	9.5	-	-	-
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Taxes (C\$m)	-	-	-	-	-
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Net income (C\$m)

	(15.5)	(27.1)	(5.0)	(5.0)	(1.7)
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Cash flow, attrib.

	CY18A	CY19A	CY20E	CY21E	CY22E
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EBIT (C\$m)	(15.5)	(27.2)	(5.0)	(5.0)	(5.0)
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Add back D&A (C\$m)	0.2	0.4	-	-	-
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Less tax + net interest (C\$m)	(0.0)	(0.1)	-	-	(3.4)
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Net change in wkg cap (C\$m)	(1.4)	4.2	-	-	-
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Add back other non-cash (C\$m)	1.6	12.0	-	-	-
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Cash flow ops (C\$m)

	(15.1)	(10.5)	(5.0)	(5.0)	(1.7)
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PP&E - build + sust. (C\$m)	3.2	0.6	-	(139.6)	(163.6)
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PP&E - expl'n (C\$m)	-	(0.2)	-	-	(11.2)
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Cash flow inv. (C\$m)

	3.2	0.4	-	(139.6)	(174.8)
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Share issue (C\$m)	12.0	22.1	-	150.0	-
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Proceeds from sale (C\$m)	-	-	-	-	-
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Debt draw (repay) (C\$m)	-	-	-	70.6	141.2
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Cash flow fin. (C\$m)

	12.0	22.1	-	220.6	141.2
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Net change in cash (C\$m)	0.1	12.0	(5.0)	76.0	(35.3)
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EBITDA (C\$m)	(15.4)	(26.8)	(5.0)	(5.0)	(5.0)
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Balance sheet

	CY18A	CY19A	CY20E	CY21E	CY22E
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Cash (C\$m)	1.1	13.1	18.1	94.1	58.8
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Acc rec., inv, prepaid (C\$m)	3.7	2.8	5.2	5.2	5.2
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PP&E + other (C\$m)	19.7	8.5	14.2	153.8	328.6
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Total assets (C\$m)

	24.6	24.4	37.5	253.1	392.7
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Debt (C\$m)	-	1.5	4.5	75.1	216.3
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Accounts payable (C\$m)	1.4	4.1	11.8	11.8	11.8
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Others (C\$m)	4.6	7.2	6.2	6.2	6.2
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Total liabilities (C\$m)	6.0	12.8	22.4	93.0	234.2
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Sh'hlds equity + wrnts (C\$m)	81.6	99.2	131.2	281.2	281.2
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Retained earn'gs + rsvs (C\$m)	(63.0)	(87.6)	(116.1)	(121.1)	(122.8)
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Liabilities + equity (C\$m)

	24.6	24.4	37.5	253.1	392.7
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TOTAL	33

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